The crash affected investor appetite for the IPOs that hit the market between June and August. GMR Infrastructure's issue had to be priced at the lower end of the bidding band of Rs 210-250. The issue was subscribed close to seven times. The institutional portion was subscribed eleven times, but retail investor response was poor. The shares got a lukewarm response on listing day, and could barely manage a 2 per cent premium before ending the day at the issue price of Rs 210.

I wondered where all the institutional investors who had enthusiastically bid for the issue had vanished. If the institutional portion was subscribed eleven times, it meant those who applied had got only one share for every eleven they had bid for. When the share was available close to its issue price on listing, these investors could have bought the remaining shares they had wanted. That there was hardly any demand on listing day suggested that some strings had been pulled to ensure that the issue got a decent response. Still, investors who subscribed to the issue and held on for a year had no cause for regret, as the stock appreciated nearly fivefold over the next eighteen months.

By the end of August that year the global markets had settled down, and in the following month had resumed their climb. The Sensex was crossing 1,000-point milestones at the strike rate of Sanath Jayasuriya in top form. In October, it reclaimed the 12,000 mark, on the first day of November, hit 13,000 and in the first week of December, it topped 14,000.

The mania in the secondary market notwithstanding, one of the high-profile public issues of the year turned out to be an anticlimax for the company as well as its merchant bankers.

Cairn India, the Indian arm of UK-based Cairn Plc, was looking to raise over Rs 6,000 crore through an IPO. Until then, only ONGC had raised a bigger amount – Rs 10,500 crore – through a public issue. But everything seemed to go wrong for the IPO, right from the moment the issue opened for subscription in December.

The issue, with its price fixed at Rs 160-190, was fully subscribed on the first day of bidding itself. But many institutional investors reduced the size